# THE BURTON INN

**Rent Basis & Owner Return — prepared for the building owner**

**Draft v2.0 — November 11, 2026 — replaces the July 2026 version**

> *This document shows how the proposed rent is calculated: what each line of the business earns, what the owner receives under a deliberately conservative floor case and a more ambitious target case, and the reasoning behind every assumption. It uses the same terms and numbering as the Lease Workbook, so the two can be read side by side. Figures are projections from the stated assumptions, not guarantees. There is space to write under each section.*

**The baseline is an empty building.** Today the property earns nothing and costs its owner about $19,500 a year in taxes, insurance, and upkeep. From the month after signing, those costs move to the tenant and the building starts producing income.

## THE PROPOSAL AT A GLANCE

- **Whole building, one tenant.** Through December 31, 2031, with one option to extend five years, to December 31, 2036.
- **Tier One — property costs.** The tenant pays the property taxes ($8,500), building insurance ($6,500), and routine upkeep ($4,500) at actual cost — $19,500 a year today — plus all utilities. If those costs rise, the tenant absorbs the increase.
- **Tier Two — the owner's return.** Ten percent (10%) of gross revenue, measured from receipts, not profit. From January 1, 2028 there is a guaranteed minimum of $1,650 a month ($19,800 a year). The owner receives whichever is greater.
- **Tenant investment.** About $98,000 of fit-out (flooring, paint, kitchen retrofit and permits, furnishings) that stays with the building.
- **Already paid.** A $70,000 rent advance under the Side Agreement.
- **Option to purchase.** The tenant may buy the property during the lease. Price and terms: owner to propose.

# WHAT CHANGED SINCE JULY

| TOPIC | JULY 2026 | NOW |
|---|---|---|
| How rent is described | Fixed base rent plus 10% above a $198,000 breakpoint | The greater of the $1,650 monthly minimum or 10% of gross revenue. From 2028 the result is identical; it is simply easier to state. |
| First lease year | Base rent abated; 10% only on revenue above $198,000 | No minimum, but 10% of all revenue from the first dollar. The owner is paid as soon as the inn earns. |
| Term | Ten-year projection | Initial term through 2031 (five Lease Years), plus a five-year extension. Lease Years are calendar years. |
| Building systems | Optional $50,000 loan from tenant to owner | Removed. The tenant has instead paid a $70,000 rent advance. |
| Purchase | A tenant goal for about Year 10 | An option to purchase in the lease. Owner to propose the price. |
| Zoning | Not addressed | Addressed in Section 5. |

NOTES

# 1 · HOW THE RENT IS CALCULATED

*Workbook items 4.1 through 4.7.*

| COMPONENT | AMOUNT | BASIS |
|---|---|---|
| **Tier One —** property costs | About $19,500 a year | Taxes $8,500 (the current bill), building insurance $6,500, routine upkeep $4,500. Paid at actual cost, so the owner is never exposed to increases. No management fee and no escrow account. |
| **Tier Two —** minimum | $1,650 a month from January 1, 2028 | $19,800 a year, fixed for the term. No minimum in Lease Year 1 while the business opens in stages. |
| **Tier Two —** percentage | 10% of gross revenue | Receipts-based and verifiable; no expense accounting involved. The owner receives the greater of this or the minimum. |

**Why this structure.** The minimum is set so the business can survive a weak year, and the percentage makes the owner an automatic participant in every good one. The minimum stays flat; the percentage is the escalator. As revenue grows, the owner's return grows with it, without a renegotiation.

**How it is paid and checked.** The minimum is paid monthly. The percentage is paid quarterly, within a month after each calendar quarter, with a year-end true-up by March 31. The tenant sends a monthly revenue report and a certified annual statement. The owner may audit point-of-sale and booking records once a year; if revenue was understated by more than 10%, the tenant pays for the audit.

NOTES

**The two cases, at stabilized revenue:**

| | CONSERVATIVE (FLOOR) | TARGET |
|---|---|---|
| Gross revenue | $270,280 | $447,767 |
| Tier Two to the owner (10%) | $27,028 | $44,777 |
| Tier One costs paid by tenant | $19,500 | $19,500 |
| Tenant's total occupancy cost | $46,528 | $64,277 |
| Occupancy cost as a share of revenue | 17.2% | 14.4% |
| Profit before occupancy cost (coverage) | $96,408 (2.1x) | $182,668 (2.8x) |

**Two honest notes.** First, 14–17% is a full rent load. Single-use restaurant benchmarks put median occupancy cost near 6% of sales (National Restaurant Association, 2024) and call anything over 10% high. The owner is paid above single-use norms, which is supportable because the same building earns several ways: an inn around the clock, a bar at night, a dinner venue, and a commercial kitchen by day. Second, coverage is the real safety measure. Even at the floor, the business earns about twice its occupancy cost, and if revenue falls, the percentage falls with it, down to the minimum.

NOTES

# 2 · WHO PAYS FOR WHAT

*Workbook items 2.2 through 2.4, 7.1, and 10.1.*

| ITEM | CARRIED BY |
|---|---|
| Property taxes | Tenant, at actual cost (Tier One) |
| Building insurance | Tenant, at actual cost (Tier One) |
| Routine maintenance and upkeep, inside and out | Tenant (Tier One, about $375 a month) |
| Utilities (power, water, garbage, internet) | Tenant |
| Liability, liquor-liability, and business-income insurance | Tenant (owner named as additional insured) |
| Interior fit-out (about $98,000) | Tenant |
| Fire suppression and HVAC: installation and later replacement (about $50,000) | Owner |
| Roof, foundation, and structure | Owner |
| Existing code violations, including the sunroom | Owner |

Everything that varies with operating the business sits with the tenant. The owner carries the long-lived shell he owns anyway, and one up-front outlay for the fire suppression and HVAC systems.

NOTES

### When the money starts

| MILESTONE | EFFECT FOR THE OWNER |
|---|---|
| Lease signed; tenant takes possession | Tier One costs move to the tenant from the first of the next month |
| Phase 1: guest rooms open | Tier Two begins: 10% of revenue from the first dollar |
| About three months later: kitchen, bar, and events open | Full revenue engine running; tenant has about $98,000 invested |
| January 1, 2028 | The $1,650 monthly minimum begins |
| 2028 through 2031 | Stabilized: Tier One covered, plus the greater of the minimum or 10% |
| 2032 through 2036, if extended | Same terms; the percentage keeps growing with revenue |

**The owner's downside.** If the business underperforms, rent falls toward the minimum rather than the tenant defaulting. If the tenancy ends early, the owner keeps the fit-out attached to his building, his upgraded systems, and a property that has been maintained and insured at the tenant's expense. The owner has no capital in the operating company. His exposure is vacancy, which is the risk the building carries today, on a materially improved building.

NOTES

# 3 · REVENUE BY LINE OF BUSINESS

*The basis for workbook items 4.2, 4.3, and 4.5.*

Because Tier Two is 10% of all revenue, each line of business contributes 10% of what it earns. Tier One is shown spread across the lines by revenue share, to illustrate what each line carries. The lease itself is a single obligation of the tenant.

**Conservative floor**

| LINE OF BUSINESS | REVENUE | TIER TWO (10%) | TIER ONE SHARE | TOTAL | SHARE |
|---|---|---|---|---|---|
| Inn — 4 guest rooms | $110,376 | $11,038 | $7,963 | $19,001 | 40.8% |
| Cocktail bar (Sylvan Kitchen) | $79,800 | $7,980 | $5,757 | $13,737 | 29.5% |
| Chef's dinners | $46,085 | $4,608 | $3,325 | $7,933 | 17.1% |
| Weekend pop-ups | $24,000 | $2,400 | $1,732 | $4,132 | 8.9% |
| Commissary rental | $3,200 | $320 | $231 | $551 | 1.2% |
| Misc kitchen and events | $6,820 | $682 | $492 | $1,174 | 2.5% |
| **Total** | **$270,280** | **$27,028** | **$19,500** | **$46,528** | **100%** |

- **Inn ($110,376):** 36% occupancy at $210 a night, or 525 booked nights a year across 4 rooms. The observed Vashon short-term lodging average is 52% occupancy (AirDNA, June 2026; Bainbridge Island runs 56%), so this case sits 16 points below the market as a margin of safety. $210 is at the entry point for Vashon lodging ($221–234 cheapest-room rates on Tripadvisor; whole-home rentals average $327).
- **Cocktail bar ($79,800):** 12.5 covers a night at $38, 4 nights a week, 42 weeks. Two craft cocktails at Seattle-area prices ($16–24 each) plus a snack puts a realistic check at $38–50, so $38 is the low end. That is roughly a quarter of a 50-seat room on an average night.
- **Chef's dinners ($46,085):** 35 seats at $150, about 16 dinners a year, 55% sell-through. The nearest Seattle comparable is $130 all-inclusive with pairings; the low sell-through absorbs the pricing risk.
- **Weekend pop-ups ($24,000):** 24 orders a day at $25, two days a week, 20 peak weeks.
- **Commissary ($3,200):** $32 an hour, 2 hours a week. Mid-range of Seattle-area commissary rates ($15–35 an hour), on a token schedule.
- **Misc kitchen and events ($6,820):** $210 a month of small hires plus $4,300 a year of private events.

### Target

| LINE OF BUSINESS | REVENUE | TIER TWO (10%) | TIER ONE SHARE | TOTAL | SHARE |
|---|---|---|---|---|---|
| Inn — 4 guest rooms | $141,255 | $14,125 | $6,152 | $20,277 | 31.5% |
| Cocktail bar (Sylvan Kitchen) | $114,912 | $11,491 | $5,004 | $16,496 | 25.7% |
| Chef's dinners | $107,100 | $10,710 | $4,664 | $15,374 | 23.9% |
| Weekend pop-ups | $65,000 | $6,500 | $2,831 | $9,331 | 14.5% |
| Commissary rental | $12,500 | $1,250 | $544 | $1,794 | 2.8% |
| Misc kitchen and events | $7,000 | $700 | $305 | $1,005 | 1.6% |
| **Total** | **$447,767** | **$44,777** | **$19,500** | **$64,277** | **100%** |

- **Inn ($141,255):** 45% occupancy at $215 a night, still 7 points below the 52% Vashon market average. Even the target case does not require the inn to outperform its market.
- **Cocktail bar ($114,912):** 18 covers a night, about a third of the room. Amelia's existing following (Sylvan Kitchen) is the engine here.
- **Chef's dinners ($107,100):** two ticketed dinners a month at 85% sell-through.
- **Weekend pop-ups ($65,000):** 50 orders a day across 26 ferry-season weekends.
- **Commissary ($12,500):** $50 an hour, 5 hours a week; the top of the $25–50 national shared-kitchen band, justified by the scarcity of licensed kitchens on the island.
- **Misc kitchen and events ($7,000):** $500 a month plus $1,000 a year of events.

NOTES

# 4 · WHAT THE OWNER RECEIVES

*Workbook items 3.1 through 3.3 and 4.2 through 4.3.*

Lease Year 1 runs from signing through December 31, 2027, and reflects the staged opening (rooms first, kitchen and bar about three months later). Its revenue depends on the opening date. From Lease Year 2, revenue is assumed to grow 5% a year. The figures are Tier Two only: cash to the owner, with property costs already paid by the tenant.

| LEASE YEAR | CONSERVATIVE REVENUE | TIER TWO TO OWNER | TARGET REVENUE | TIER TWO TO OWNER |
|---|---|---|---|---|
| 1 (through 2027) | $172,728 | $17,273 | $278,354 | $27,835 |
| 2 (2028) | $283,795 | $28,380 | $470,155 | $47,016 |
| 3 (2029) | $297,984 | $29,798 | $493,663 | $49,366 |
| 4 (2030) | $312,883 | $31,288 | $518,346 | $51,835 |
| 5 (2031) | $328,528 | $32,853 | $544,264 | $54,426 |
| **Initial term total** | | **$139,592** | | **$230,478** |
| 6 (2032, if extended) | $344,954 | $34,495 | $571,477 | $57,148 |
| 7 (2033) | $362,202 | $36,220 | $600,051 | $60,005 |
| 8 (2034) | $380,312 | $38,031 | $630,053 | $63,005 |
| 9 (2035) | $399,327 | $39,933 | $661,556 | $66,156 |
| 10 (2036) | $419,294 | $41,929 | $694,634 | $69,463 |
| **Ten-year total** | | **$330,200** | | **$546,255** |

- **Plus property costs the owner no longer pays:** $19,500 a year at today's costs, or $97,500 over the initial term and $195,000 over ten years. Counting these, the swing from today's empty building is $237,092 (conservative) to $327,978 (target) over the initial term, and $525,200 to $741,255 over ten years.
- **Stress case:** if revenue never grows past the conservative floor, Tier Two totals $125,385 over the initial term and $260,525 over ten years.
- **The $70,000 advance:** the figures above are rent earned. The advance already paid is credited against rent as the Side Agreement provides, so part of this rent has been received in advance.

**The owner's yield.** Because the tenant pays the property costs, Tier Two is net income to the owner. Yield is the annual Tier Two divided by the value of the property.

**Owner's value of the property:** $ _____

**Yield at the floor (Lease Year 2):** $28,380 ÷ value = _____ %

**Yield at target (Lease Year 2):** $47,016 ÷ value = _____ %

### Value to the owner in the first lease year

| | CONSERVATIVE | TARGET |
|---|---|---|
| Property costs moved to the tenant | $19,500 | $19,500 |
| Tier Two (10% of revenue) | $17,273 | $27,835 |
| Tenant-funded improvements that stay with the building | $98,000 | $98,000 |
| **Total first-year value** | **$134,773** | **$145,335** |

The owner's own outlay in the same period is the fire suppression and HVAC work, about $50,000, which remains his asset.

NOTES

# 5 · GETTING OPEN: ZONING AND PERMITS

*Workbook items 2.3 and 8.1 through 8.4.*

The revenue above depends on reopening the guest rooms and then the kitchen and bar. Where that stands:

- **Zone.** The property is zoned NB. A bed-and-breakfast is allowed only as accessory to the operator's residence, with a maximum of five rooms.
- **Certificate of occupancy.** The County's 1992 certificate covers four guest rooms over a 62-seat dining room. Whether it still holds after the closure since 2022 is an open question.
- **Sunroom violation.** An open violation on the sunroom is the likely gate on new permits. If the County lets it be resolved separately, the rooms could reopen in roughly four to six weeks (our estimate, not the County's).
- **Proposed protection.** If the guest rooms cannot legally reopen by June 30, 2027, the tenant may end the lease.

**King County zoning (Mark Rowe, November 10):**

**What the owner is asked to do:** resolve the sunroom violation (fix it or close it off), sign owner consents on permit applications, and complete the fire suppression and HVAC work in time for each phase of opening.

NOTES

# 6 · THE RENT ADVANCE AND THE OPTION TO PURCHASE

*Workbook sections 5 and 6.*

**The $70,000 rent advance.** The tenant has paid the owner $70,000 as a rent advance under the Side Agreement, with a 12% credit. About $39,600 is refundable if the lease is not extended past 2031. The Side Agreement stays in effect alongside the lease.

**Option to purchase.** The lease gives the tenant an option to buy the land, building, and fixtures during the term. The owner sees a decade of reliable, growing income on a building that costs nothing to hold, improvements that stay with the property, and a motivated buyer.

**Price — owner to propose: $ _____**

**How the price changes over the term (fixed, a yearly schedule, or appraisal):**

**Other purchase terms (earnest money, time to close, closing costs, credit for the unused advance):**

NOTES

# 7 · MARKET CONTEXT AND SOURCES

Every load-bearing assumption was checked against outside market data in July 2026. Vashon is too small a lodging market for the standard hotel-industry reports, so short-term-rental data and named comparables are the best available evidence.

| ASSUMPTION | THIS DOCUMENT | MARKET EVIDENCE | SOURCE |
|---|---|---|---|
| Inn occupancy | 36% floor / 45% target | Vashon short-term-rental average 52% (June 2026); Bainbridge 56%. Both cases sit below the observed average. | AirDNA |
| Nightly rate | $210–215 blended | Vashon listings from $221–234 (cheapest-room rates); whole-home rentals average $327. | Tripadvisor; AirDNA |
| Seasonality | Blended year-round rate | Winter occupancy on a comparable island (Whidbey) is 20–35%, which supports blending. | UBRPM market guide |
| Bar check | $38 a cover | Seattle craft cocktails run $16–24 each; two drinks and a snack is $38–50. | Seattle bar menus (Canon, Deep Dive, and others) |
| Chef's dinner | $150 a seat | Nearest Seattle comparable: $130 a seat all-inclusive. The conservative case absorbs the premium through 55% sell-through. | Seattle pop-up listings |
| Commissary rate | $32 floor / $50 target | Seattle-area commissaries list $15–35 an hour; $25–50 nationally. | The Food Corridor; Farm Kitchen; CBG |
| Percentage rent | 10% of gross revenue | 10% matches bar and venue norms; single-use restaurants run 5–8%. The blend reflects the mix. | Northmarq; Stoner Law; Fork CPAs |
| Occupancy cost | 14–17% of revenue including property costs | Single-use restaurant median is about 6% (2024); over 10% is called high. Carried here by multi-use economics and 2.1–2.8x coverage. | National Restaurant Association; Toast; Paytronix |
| Flat minimum with a percentage escalator | Minimum flat; percentage grows | Annual 2–3% escalators are the majority convention; percentage-based restaurant leases are a growing, accepted model. | STRATAFOLIO; FIP Commercial |
| Property tax | $8,500 (current bill) | Vashon effective rates are about 1.07–1.13% of assessed value. Actual bills pass through to the tenant. | Ownwell; Vashon Beachcomber |

*Benchmarks are directional. Hotel-grade occupancy data specific to Vashon does not exist publicly; short-term-rental figures measure whole-home listings, not per-room inn performance. A full source list is available on request.*

# NOTES AND QUESTIONS